

SUPPLEMENTAL RETIREMENT PLANS

Loudoun County Public Schools (LCPS) offers its employees the opportunity to participate in defined contribution retirement plan(s).

A. 403(b) Plan

1. All employees may voluntarily participate in the LCPS 403(b) Plan, which is a defined contribution retirement plan. No employer contributions are offered. School Board members are not eligible to participate in this plan. Employee contributions are made through payroll deduction. The 403(b) Plan is intended to comply with the regulations under Internal Revenue Code (IRC) Section 403(b) and other applicable IRC sections. The provisions of the 403(b) Plan are set forth in a written Plan Document containing all the material terms and conditions for eligibility, benefits, applicable limitations, the Plan's available funding vehicles, and the time and form of benefit distributions.

2. The Plan Document also addresses any optional features, including hardship withdrawal distributions, loans, plan-to-plan transfers, and acceptance of rollovers to the LCPS 403(b) Plan. The document may be viewed online on the LCPS website, by navigating to its [Employee Benefits](#) page.

3. The written plan may:

- a. Allocate responsibility for administrative functions, including functions to comply with the requirements of IRC Section 403(b) and other tax requirements.
- b. Assign such responsibilities to parties other than LCPS, but not to participants (unless the administration of the plan is a substantial portion of the duties of the participant).
- c. Incorporate by reference other documents which thereupon become part of the written plan.
- d. Address termination of the plan.

4. A retirement plan service provider will be approved by the School Board as part of the competitive procurement process conducted in accordance with the LCPS procurement policies and procedures.

5. The 403(b) Plan Document is administered by LCPS or its designee.

B. 457(b) Deferred Compensation Plan.

1. All employees and members of the School Board may voluntarily

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participate in the Deferred Compensation Plan of the Commonwealth of Virginia, sponsored by the Virginia Retirement System (457(b) Plan). This is a defined contribution retirement plan, and LCPS is a participating employer in this 457(b) Plan. No employer contributions are offered. Employee contributions are made through payroll deduction. The 457(b) Plan is intended to comply with the regulations under IRC Section 457(b) and other applicable IRC sections. The provisions of the 457(b) Plan are set forth in a written Plan Document containing all the material terms and conditions for eligibility, benefits, applicable limitations, the Plan's available funding vehicles, and the time and form of benefit distributions.

2. The Plan Document also addresses any optional features, including hardship withdrawal distributions, loans, plan-to-plan transfers, and acceptance of rollovers to the plan. The document may be viewed on the VRS website, by navigating to its Defined Contribution Plans page.

3. The written plan may:

- a. Allocate responsibility for administrative functions, including functions to comply with the requirements of IRC Section 457(b) and other tax requirements.
- b. Incorporate by reference other documents which thereupon become part of the written plan.
- c. Address termination of the plan.

4. The 457(b) Deferred Compensation Plan Document is administered by the Virginia Retirement System.

[Former Policy 7-47]

Adopted: 12/11/90

Revised: 6/22/93, 12/12/95, 6/24/03, 12/08/09, 11/15/16

Current Revision: 3/14/23

Legal Refs: [26 U.S.C. § 403\(b\)](#); [26 CFR 1.403\(b\)-1](#), *et seq.*; Code of Virginia, 1950, as amended, §§ [51.1-603](#), [51.1-603.1](#).